



June 30, 2024

Hon. Michelle L. Phillips
Secretary
New York Public Service Commission
3 Empire State Plaza
Albany, NY 12223-1350

RE: Case 22-E-0236: Proceeding to Establish Alternatives to Traditional Demand-Based Rate Structures for Commercial Electric Vehicle Charging

**Comments of the Vehicle-Grid Integration Council (VGIC) on ConEd and O&R's
Proposed Modifications to the Commercial Managed Charging Program**

Introduction

The Vehicle-Grid Integration Council (VGIC) is a 501(c)(6) membership-based advocacy group committed to advancing the role of electric vehicles (EVs) and vehicle-grid integration (VGI) through policy development, education, outreach, and research. VGIC supports the transition to decarbonized transportation and electric sectors by ensuring the value from EV deployments and flexible EV charging and discharging is recognized and compensated to achieve a more reliable, affordable, and efficient electric grid.

ConEd and O&R (collectively, Companies) propose an important modification to the commercial managed charging program (CMCP) to ensure a wider set of customers will be eligible to participate in the program. Specifically, ConEd proposes to accept charging session data rather than 15-minute interval data to ensure enrollment is not unnecessarily limited due to the lack of customers with 15-minute interval data. To support this change, ConEd plans to apply an adjustment factor to convert the session average demand into an estimated peak demand that is then used to calculate the managed charging incentive.

VGIC generally supports the proposal to apply an adjustment methodology that will facilitate the expansion of potential participants and further the goals of the CMCP. However, VGIC offers the below enhancements to the petition.

VGIC recommends the adjustment factors be equal to the average demand discrepancy as studied by the Companies.

The Companies state that “Session Average Demand calculation generally underestimates demand by ~5% on average for L2 sites and ~9% on average for DCFC sites.”¹ VGIC commends the Companies for conducting a thorough literature review and data analysis to identify these values. VGIC recommends these average demand discrepancies serve as the basis for the adjustment factors used to convert charging session data into estimated peak demand data. In Appendix B of the petition, ConEd provides example calculations showing adjustment factors for L2 and DCFC of approximately 5-20% and 10-20%, respectively. The methodology in Appendix B details that ConEd will determine an adjustment factor that “1) provides reasonable and appropriate operating cost relief and 2) minimizes the likelihood of over-incentivization.”² While minimizing the likelihood of over-incentivizing is a worthy objective, VGIC is concerned that the example offered in Appendix B may be far too conservative and likely result in significant *under*-incentivization for participating customers.

VGIC believes that it would be inappropriate to authorize an adjustment factor that exceeds – and may be up to four times the magnitude of – the average demand discrepancy without reasonable justification. The risk of under-incentivization would directly undermine the goals of the CMCP and New York’s broader initiative to manage EV charging load.

With this in mind, VGIC respectfully recommends the Commission authorize the Companies to proceed with the expanded eligibility approach with the modification that the adjustment factor must be set equal to the average demand discrepancy as detailed by the Companies in the petition (i.e., 5% and 9%). VGIC also recommends the adjustment factor be revisited as additional data is collected and posits the upcoming consideration of the EV Phase-In Rate may be an appropriate venue to address this.

VGIC recommends that future modifications to the Implementation Plan continue to require Commission approval.

VGIC appreciates the Companies’ consideration given to the importance of flexibility and agility in responding to the EV market and customer needs to prevent implementation delay. Given that the approval of the charging session data adjustment factor that the Companies seek within the petition would be a modification to the Implementation Plan, which is a significant

¹ Petition of ConEd and O&R to Expand Data Eligibility Requirement for the Commercial Managed Charging Program. Page 5.

² Petition of ConEd and O&R to Expand Data Eligibility Requirement for the Commercial Managed Charging Program. Appendix B: Session Data Adjustment Factor. Table 1: Sample Adjustment Factor Determination.



modification for the reasons stated above, VGIC prefers that Commission approval continue to be required for any future modifications of the Implementation Plan. Although the Companies note that eliminating approval would be consistent with the Implementation Plan protocol of other similar programs, preserving existing input avenues that help to avoid meaningful unfavorable changes through stakeholder input is also paramount to long-term program success.

Conclusion

VGIC looks forward to continued engagement with the Commission, Department of Public Service Staff, the Companies, and other stakeholders to ensure the success of New York's transportation electrification efforts.

Respectfully submitted,

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